



Founded in 1917

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 19-07

**Comments on Delegations to Bureau of Enforcement and
Enforcement Procedures**

Submitted by

**NEW YORK NEW JERSEY FOREIGN FREIGHT FORWARDERS & BROKERS
ASSOCIATION, INC.**

The New York New Jersey Foreign Freight Forwarders and Brokers Association, Inc. (“NYNJFFF&BA”) respectively submits its comments in support of the Commission’s direct final rule amending its internal procedures concerning Bureau of Enforcement action. Established in 1917, the NYNJFFF&BA is one of the oldest trade associations for licensed freight forwarders, NVOCCs, and Customs Brokers in the United States with over 100 regular members and 25 industry –related affiliates. The membership, consisting of both publicly traded global logistics giants as well as small businesses, will be directly impacted by the proposed regulations.

The NYNJFFF&BA agrees that the Commissioners, who have been duly confirmed by Congress, should be in the position to decide informal as well as formal enforcement action and when to initiate compromise procedures.

Current Practice

Under the present system, Ocean Transportation Intermediaries (OTI’s) will first learn of an investigation by receiving a Notice and Demand Letter (NDL), detailing their possible violation, resulting penalties, and resolution through compromise agreement. The NDL also includes information on the consequences if a failure to compromise does not occur. The NDL effectively

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initiates the informal enforcement proceedings often without any previous communication with the accused OTI or individual. The penalty amounts are often large and not in proportion to the alleged violation(s). The stated violation can be based on an interpretation of the regulations that is not always clear. The practical result is to force a compromise agreement as the cost to the OTI once an NDL is issued is punishing in terms of legal fees and uncertain results of an administrative hearing. Many times, the alleged violations involve technicalities, do not involve victims, and can easily be fixed in future transactions by adding certain documentation or altering documentation utilized.

Current Practice Consequences

Particular confusion surrounds the co-loading regulations, which have led to many violations. These have resulted in compromise settlements reaching three to four hundreds of thousands of dollars. Meanwhile, there is nothing in the statutes or the shipping regulations to provide guidance on what is lawful and what is unlawful in, for example, a carrier-to-carrier agreement. The industry has been used to connecting the term “carrier-to-carrier” agreement with agreements among ocean carriers whereby these carriers offer each other slots on their vessels at agreed upon rates----i.e., rates not included in ocean carrier tariffs or service contracts. NVOCCs tend to view this as a permissible practice for the NVOCC industry segment as well. The co-load regulations are silent on this, except to state that if a house bill is issued it is presumed that the relationship is that of shipper to carrier----i.e., that tariff rates, NRAs or NSAs must be applicable. The reverse has been traditionally inferred by many NVOCCs---that if no bill of lading is issued a carrier-to-carrier arrangement is permissible. Therefore, in these cases no house bill is issued to the tendering NVOCC. This has resulted in serious compromised settlements which have been characterized as unlawful accessing of ocean carrier service contracts when the master loading NVOCC is a service contract party. Due to an OTI NVO failure to issue a Bill of lading, the Bureau of Enforcement has issued penalties for unlawful access to service contracts by a master loading OTI NVO. As noted, often in these instances there is no victim, but technical violations are claimed and enforced. The accused OTI settles out of necessity to control its costs.

Enforcement Process Improvement

The NYNJFF&BA believes that the new requirement for the issuance of a notice of investigation to replace the Notice and Demand Letter is more constructive and correct than the current practice. This would allow the entity under investigation to have an opportunity to provide

additional information that could put in perspective the facts surrounding the alleged violation. The NDL carries with it a presumption of guilt prior to any response by those under investigation. This runs counter to the basic premise of our legal system for those accused to be able to defend themselves.

With this change the Commission will be in a better position to exercise oversight on the enforcement process and determine if such action should move forward or not. It will assist in aligning the enforcement focus with the broad mission and goals of the Commission and minimize isolated technical violations that do not serve any real purpose. As stated, the Commission is committed to “Ensure a competitive and reliable international ocean transportation supply system that supports the U.S. economy and protects the public from unfair and deceptive practices.” This final rule is consistent with the very practical position the Commission took in issuing an Interpretive Rule of what constitutes reasonable practice under the Shipping Act of 1984 (Docket 18-06)

Conclusion

The NYNJFF&BA supports the Commission’s Final Rule amending the delegation of authority in informal proceedings. It will bring The Commission’s involvement with the informal process more into alignment with those of the formal procedures. It will also ensure that the enforcement focus is consistent with the Commission's priorities concerning maritime regulated entities and protecting the broader shipping public from being negatively affected by their practices.

Executed on November 8, 2019

On Behalf of the NYNJ Foreign Freight Forwarders & Brokers Association, Inc

A handwritten signature in black ink, appearing to read "William B. Skinner", followed by a horizontal line and a stylized flourish.

William B. Skinner

President

NYNJ Foreign Freight Forwarders & Brokers Association, Inc.